

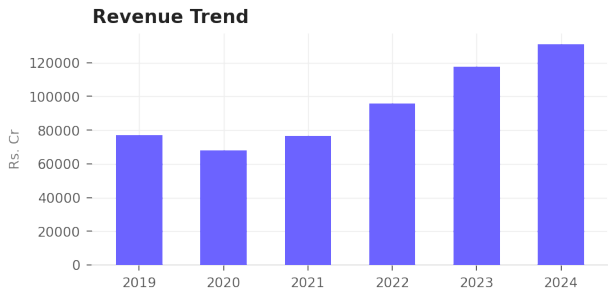
Grasim Industries Ltd

GRASIM | Industrials - Diversified Industrials | Mid Cap

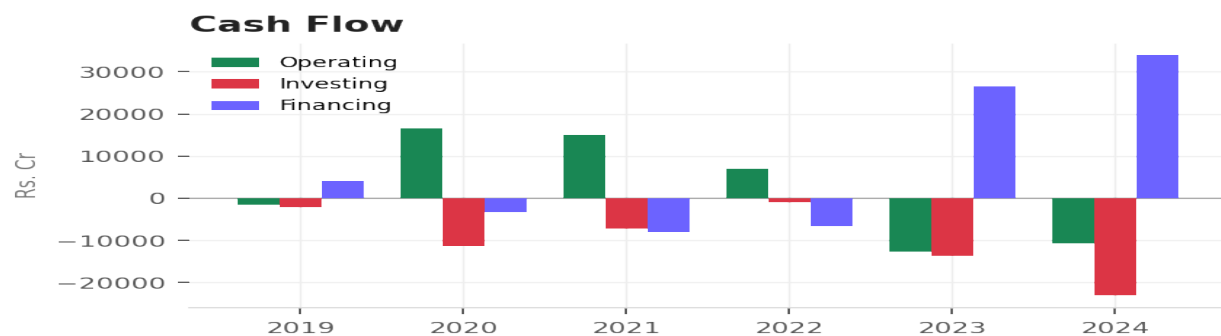
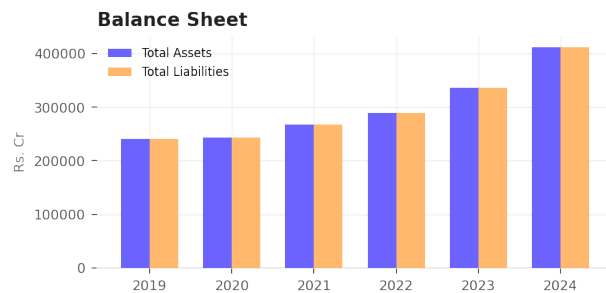
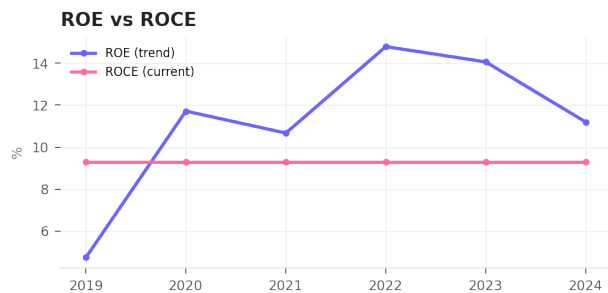
11.2%	9.3%	1.55x	79.3x	1.0%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Grasim Industries Ltd - Financial Trends



Pros

- + Company has delivered strong sales growth of 14.2% CAGR over the last 5 years. (65% confidence)
- + Company maintains a strong operating margin of 20.8%. (61% confidence)

Cons

- Company's cash generation lags reported profits (CFO/PAT of -1.23x), an accrual risk. (98% confidence)
- Company is capital intensive, spending 16.9% of sales on capex. (88% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)
- Company carries a high debt-to-equity ratio of 1.55. (70% confidence)